

An Equilibrium Model of Career Concerns, Investment Horizons, and Mutual Fund Value Added

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Questions and Answer

Open Questions/Puzzles:

- Why does the majority of value added come from funds' long-term holdings as opposed to their short-term trades?
- Why does a small number of large funds with low-turnover strategies manage the majority of assets, while the industry continuously features a large number of small funds with high-turnover strategies?
- Why do older funds have lower fund turnover than newer funds on average?

The Answer: Career Concerns

The Intuition

The Key Insight:

- Short-term (aka high-turnover) strategies maximize the expected life-time stream of management fees of new and unskilled fund managers by offering high potential growth of their funds and also protecting against the downside risk through exit options.
 - **There is a benefit of revealing talent**, which arises from the protection against downside risk due to the optionality of fund operation.
 - **Short-term strategies exploit this option when talent is unknown or obscure.**

In Layman's Terms:

- Since it's valuable to reveal talent, new mutual fund managers will use short-term strategies to reveal their talent faster. After proving themselves, they will transition to more profitable (i.e., long-term) strategies. This insight corresponds to several empirical features of the mutual fund industry.

The Slide Where I Say Some Nice Things

- This seems journal ready to me. I actually checked Ran's website/CV to see where this was forthcoming.
- "Approachable" theory paper. It's not an "easy" theory paper, but one that is approachable by anyone in our field. Very nice writing to make it this way.
- The key insight is simple and ex-post obvious, yet powerful. A rich set of empirical predictions come from the insight that managers want to reveal their talent quickly.
 - It's also one of those "why didn't I think of that!?" papers that can be so aggravating for a discussant, but rewarding for the authors.

The comments in the following slides by and large ask questions and make suggestions that the authors can address that would leave me a bit more satisfied.

Career Concerns of CEOs: Additional Literature

There are new papers that discuss the ideas of career concerns, unobservable talent, and short-term versus long-term investments in the context of CEOs.

Thakor (2021) and Gryglewicz, Mayer, and Morellec (2020)

- Career concerns of CEOs and unobservable talent matter.
- Short-term projects quickly resolve uncertainty concerning the CEO-firm match.

Consider these papers as you refine your motivation and contribution. They are complimentary to your work.

Interchangeable Talent?

Talent enhances both short-term and long-term strategies. But what if short-term talent was different from long-term talent?

- Peter Lynch (Magellan Fund) seems like long-term talent.
- James Simons (Renaissance) seems like short-term talent.
 - And of course there could be many other examples... and of course Renaissance is a hedge fund, but the point remains.
- Short-sellers' (informed investors) talent seems to be short-term in nature (Engelberg, Reed, and Ringgenberg (2012)).

Your key insight isn't diminished by this, but your paper would be better received if you can give some thought and discussion to this point.

Changing Strategies?

The empirical work shows that new fund managers tend to invest in short-term strategies while older fund managers tend to invest in long-term strategies. **But do we see managers switching as their talent is revealed?**

- Your theory implies that managers switch as they are revealed to be talented. I don't believe this was shown clearly in the empirical work, but it seems like you have the data to test this.
- Also, it would be interesting to see any off-equilibrium behavior not working well. For example, can you demonstrate that new managers using long-term strategies have worse career outcomes on average?

The empirical work is nice and adds much to the paper, but there are one or two important empirical tests you should be able to run.

What if Fund Managers Knew Their Type?

In the paper, no one in the economy knows the true talent, so everyone relies on priors, payoffs, and updating to get to *perceived talent*.

- If talent was known by the managers but not investors, how would that change? Or just if managers learned about their talent faster?
- What if managers were overconfident in their own talent compared to what investors believed?

Considering potential information asymmetry here would be an interesting extension.

The Slide Where I Copy and Paste for a Recap

Very nice paper. The key insight is simple and ex-post obvious, yet powerful.

Main Suggestions;

- ① Consider CEO career concerns and short-termism papers as you refine your motivation and contribution. They are complimentary to your work.
- ② Your paper may be better received if you can give some thought and discussion to the substitutability of short- and long-term talent.
- ③ The empirical work is nice and adds much to the paper, but there are one or two important empirical tests you should be able to run. (Do managers change strategies as they age and gain experience and reveal talent?)
- ④ Considering potential information asymmetry here would be an interesting extension.